

Look at the Big Picture

When it comes to mortgages and home equity loans, the bottom line is to look at the big picture. If you're on a tight budget and can barely qualify for a thirty-year mortgage, you may not have any other options, but if possible, look beyond the monthly payments to your overall financial plan. What will benefit you the most in the long term? Even if you'd love to have a fifteen-year loan to build equity quickly but can't quite swing it, you may be able to make extra principal payments on your thirty-year loan. You'd still come out ahead without the monthly commitment to higher payments.



Remember that your home is a place to live, not an ATM. Cash-out refinancing can be a useful tool or a dangerous trap. Don't use the technique to increase the amount you can spend each month or for a trip to the beach.

Cash-Out Refinancing

Some people refinance for more than the value of their current mortgage if they have a lot of equity in their home. This is called cash-out refinancing. Let's say you paid \$125,000 for your house and your mortgage is \$100,000. Your house has appreciated in value and is now worth \$175,000. You might refinance for \$140,000, pay off the balance on your \$100,000 mortgage and pocket the difference of \$40,000 or more. You'd still have 20 percent equity in your home ($\$140,000 \div \$175,000 = 80$ percent). Don't forget that your monthly payments would be significantly higher, so make sure you can afford them. If you're planning to borrow anyway to make improvements to your home, this may be the way to go instead of taking out a second loan to pay for the renovations. In the event that you cash out for purposes other than home improvements the tax deductibility of the mortgage interest related to the refinancing may be limited. See IRS Publication 936 for the details.